

illogical, for the stock exchange itself neither buys nor sells securities, and does not fix prices. The actual function of the stock exchange consists in maintaining a free and open market under strict rules and with convenient facilities, in which everyone can readily buy and sell. Prices in the stock market in consequence reflect the forces of supply and demand arising from the buying and selling orders of the whole public.

NEW CAPITAL FOR INDUSTRY

Another important function of the stock exchange less seldom appreciated is the stimulus which its ready marketing machinery affords to the flow of new capital into industry. The stock market is not simply a passive meeting place where supply and demand come together—it is a dynamic mechanism whereby securities can be seasoned and gradually distributed to investors. In many cases an entirely new security issue will fail to attract conservative investors, who like to see a long and well-tested record of earning power behind the securities they purchase. The existence of an organized security market enables just this desired “seasoning” process to be carried on, and thus for new securities to pass gradually into investors’ strongboxes. New issues can in turn be underwritten because there is this undertow of absorption of the older issues by investors. Upon these processes, the financing of large-scale industry and trade in turn depends.

With these and other equally basic functions of the stock market few have any quarrel. The principal point of criticism of the stock exchange is that its facilities are so commonly employed for “speculation.” Yet a closer analysis of “speculation” itself will readily reveal the fact that it cannot be abolished, because it is needed to sustain risks inevitable and inherent in security ownership. If the stock market were available only to investors, it could not function continuously and therefore could not render securities truly and surely